

Lesson 5.1: Introducing risk preference

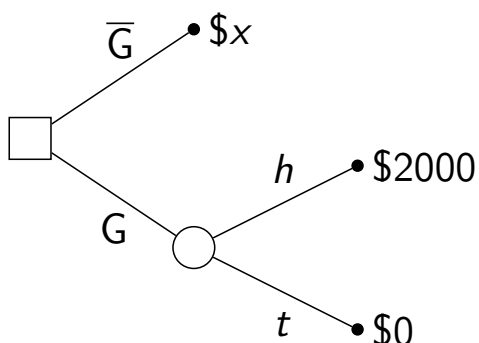
Risk attitudes and utility

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Risk preference: example

Example (To gamble or not to gamble)

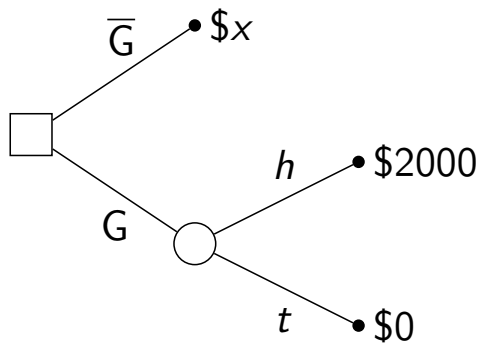
You're offered to play the following game once: a coin is tossed; on 'heads' you get \$2000; on 'tails' you get nothing. It costs \$1000 to play.



For what *certain alternative* x would *you* accept the gamble?

- ▶ 0
- ▶ 1000
- ▶ 2000

Gamble types and rationality



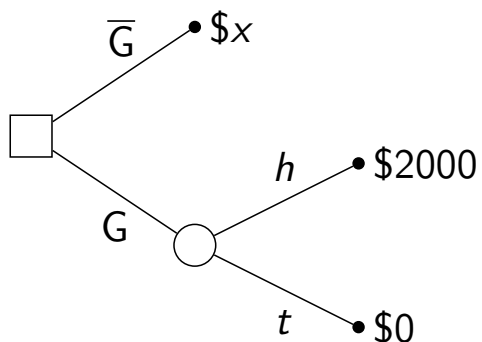
Gamble types:

- ▶ fair
- ▶ favourable/unfavourable

Is it irrational to:

- ▶ reject a favourable gamble?
- ▶ accept an unfavourable one?

Risk attitudes



You're:

- ▶ *risk averse* if you would reject a favourable gamble
- ▶ *risk seeking* if you would accept an unfavourable gamble
- ▶ *risk neutral* otherwise